THE LITTLE STEPS



Ola Cell Technologies has begun commercial operations only with 2.5 GWh of capacity even though it has bagged 20 GWh under the PLI ACC Scheme



Amara Raja Advanced Cell Technologies commissioned its Customer Qualification Plant (CQP) at its Giga Corridor in Telangana. The CQP bridges the gap between laboratory-scale R&D and commercial-scale production. With an initial capacity of 60 MWh and an investment of ₹500 crore, it will manufacture lithium-ion cells that customers can test and validate ahead of commercial production



Amara Raja, which mainly uses imported raw materials, has started making batches of cells with select local materials



Himadri Specialty Chemical and Epsilon Advanced Materials have started manufacturing anode active materials. The two companies also plan to manufacture cathode active materials

local materials. This is happening slowly. In each batch, we introduce one material change to better track any variability in performance," says Vikramadithya Gourineni, Executive Director, Amara Raja Energy & Mobility.

While the ACC PLI scheme was well intentioned, the projected battery cell capacities have not been built, says Gourineni. Can it be tweaked? "I have looked at other government policies that could prove to be effective. The Indian Semiconductor Mission has a much bigger outlay. The approach is fundamentally different. A high-powered inter-ministerial committee looks at different aspects: access to tech, where the product fits in the ecosystem, operational feasibility and strategic partnerships with customers to ensure offtake. After all these things are looked at, the disbursal happens in a milestone-based approach," says Gourineni.

"There is a much more entrepreneurial play by the government, which is underwriting a lot of risk through the execution of the project," he says. Amara Raja plans to invest ₹9,500 crore to set up 16 GWh cell capacity by FY31.

WEAPONISING TECH

Despite the recent thaw in India-China ties, several Indian companies, including Reliance Industries and JSW Group, are struggling to acquire the technical know-how for cell manufacturing. At the recently concluded BRICS Summit in New Delhi, Prime Minister Narendra Modi said weaponisation of technology and critical minerals can hinder shared progress of the bloc.

Reliance Industries, through its subsidiaries Reliance New Energy Battery Ltd and Reliance New Energy Battery Storage Ltd, was awarded 15 GWh capacity under the ACC PLI Scheme. The conglomerate is yet to install any capacity. Access to battery technology is being "weaponised", Anant Ambani, Executive Director of Reliance Industries, said at the company's 49th Annual General Meeting. "In a world where supply chains are being contested and access to technology is being weaponised, building world-scale battery manufacturing capacity in India is not merely a business decision. It is a strategic imperative for national resilience," Ambani said, assuring that Reliance New Energy plans to commission the first phase of its 40 GWh battery cell gigafactory this year as all the equipment has been delivered.

Earlier in August, JSW Group scion Parth Jindal said China is guarding LFP cell making technology "like a weapon", pushing the steel-to-automobiles major to put its plans to make battery cells in India on hold. "We are keen to make cells in India. LFP cell technology is not available for us. The hunt is on for a technology tie-up. Hence, that project is currently on hold," says Jindal. "LFP cells come from China, and they are not giving us the technology. We are ready to invest and make it in India," he says.

India wants to build batteries at home and reduce its dependence on China, but Indian companies still need Chinese technology to make that happen. Developing homegrown alternatives, meanwhile, will require significant investment and sustained government support. BT

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